

TDS / TCS Rate Chart Tax Year (FY: 2026-27)

TDSMAN  March 27, 2026  60 Comments

With the new Income-tax Act (applicable from tax year 2026–27), **TDS / TCS** provisions are consolidated into a few sections (mainly Section 393), with rates specified through tables.

Each table entry carries a **specific code** to be used in **TDS / TCS returns**, replacing the earlier section-based reporting.

While the **prime section remains the same**, the **relevant table row and its code** determine the applicable rate and reporting. The code is to be used for reporting purpose while preparing the **TDS / TCS Returns**.

The chart below maps the **new provisions with corresponding old sections** for ease of understanding. As more information and clarifications are still being progressively shared by the Income Tax Dept, we shall keep you updated on these.

TDS RATE CHART TAX YEAR 2026-27

Codes to be used in Returns	Old Section	Nature of Payment	New Section (IT Act 2025)	Rates (%)	Threshold (₹)
1004	192	Any payment of accumulated balance due to an employee	392(7)	–	–
1005	194D	Commission or brokerage – insurance	393(1) [Table: Sl. No. 1(i)]	2% in case for Individual 10% in case for Others	20,000
1006	194H	Commission or Brokerage – others	393(1) [Table: Sl. No. 1(ii)]	2%	20,000
1008	194I(a)	Rent on machinery etc.- specified person	393(1) [Table: Sl. No. 2(ii).D(a)]	2%	₹ 50,000 per month
1009	194I(b)	Rent other than machinery etc.- specified person	393(1) [Table: Sl. No. 2(ii).D(b)]	10%	₹ 50,000 per month
1011	194IC	Payment on any consideration, not being consideration in kind, under the agreement referred to in section 67(14)	393(1) [Table: Sl. No. 3(ii)]	10%	–
1012	194IA	Payment of Compensation on Acquisition of Certain Immovable Property	393(1) [Table: Sl. No. 3(iii)]	10%	₹ 5 Lakh

1013	194K	Income payable to a resident assessee in respect of Units of a specified Mutual Fund specified under Schedule VII (Table: Sl. No. 20 or 21) or units from the Administrator of the specified under-taking or units from specified company	393(1) [Table: Sl. No. 4(i)]	10%	10,000
1014	194LBA	Certain income in the form of interest from units of a business trust to a resident unit holder	393(1) [Table: Sl. No. 4(ii)]	10%	-
1015	194LBA	Certain income in the form of dividend from units of a business trust to a resident unit holder	393(1) [Table: Sl. No. 4(ii)]	10%	-
1017	194LBB	Any income, other than that proportion of income which is exempt under Schedule V [Table: Sl. No. 2], in respect of units of an investment fund specified in section 224, payable to its unitholder.	393(1) [Table: Sl. No. 4(iii)]	10%	-
1018	194LBC	Any income, in respect of an investment in a securitisation trust specified in section 221 to an investor.	393(1) [Table: Sl. No. 4(iv)]	10%	-
1019	193	Any income by way of Interest on securities	393(1) [Table: Sl. No. 5(i)]	10%	10,000
1020	194A	Any income by way of interest other than interest on securities, in case of deductee/payee is a senior citizen	393(1) [Table: Sl. No. 5(ii).D(a)]	10%	1,00,000
1021	194A	Any income by way of interest other than interest on securities, in case of deductee/payee is other than senior citizen	393(1) [Table: Sl. No. 5(ii).D(b)]	10%	50,000
1022	194A	Any income being interest other than interest on securities	393(1) [Table: Sl. No. 5(iii)]	10%	10,000
1023	194C	Any sum for carrying out any work (including supply of labour for carrying out any work) in pursuance of a contract between the contractor and a designated person – if contractor is individual or Hindu undivided family	393(1) [Table: Sl. No. 6(i).D(a)]	1% in case for Individual 2% in case for Others	(a) ₹ 30000 for any such sum; and (b) ₹ 100000 in case of aggregate of such sums.
1024	194C	Any sum for carrying out any work (including supply of labour for carrying out any work) in pursuance of a contract between the contractor and a designated person – if contractor is a person other than individual or Hindu undivided family	393(1) [Table: Sl. No. 6(i).D(b)]	1% in case for Individual 2% in case for Others	(a) ₹ 30000 for any such sum; and (b) ₹ 100000 in case of aggregate of such sums.
1026	194J(a)	Any sum by way of – (a) fees for technical services (not being a professional services); or (b) royalty in the nature of consideration	393(1) [Table: Sl.	2%	50,000

		for sale, distribution or exhibition of cinematographic films; or (c) payee, engaged only in the business of operation of call centre	No. 6(iii).D(a)]		
1027	194J(b)	Any sum by way – (a) fees for professional services; or (b) any sum referred to in section 26(2)(h)	393(1) [Table: Sl. No. 6(iii).D(b)]	10%	50,000
1028	194J(b)	Any sum by way of remuneration or fees or commission by whatever name called, other than those on which tax is deductible under section 392, to a director of a company	393(1) [Table: Sl. No. 6(iii).D(b)]	10%	–
1029	194	Any dividends (including on preference shares) declared.	393(1) [Table: Sl. No. 7]	10%	₹ 10,000 (Individual)
1030	194DA	Any sum under a life insurance policy, including the sum allocated as bonus on such policy, other than the amount not includible in the total income under Schedule II [Table: Sl. No. 2]	393(1) [Table: Sl. No. 8(i)]	2%	₹ 1 lakh
1031	194Q	Any sum for purchase of any goods	393(1) [Table: Sl. No. 8(ii)]	0.1%	in excess of ₹ 50 lakh
1033	194R	Any benefit or perquisite, whether convertible into money or not, arising from business or the exercise of a profession of any resident.	393(1) [Table: Sl. No. 8(iv)]	10%	20,000
1034	194R	Any benefit or perquisite, whether in cash or in kind or partly in cash and partly in kind, whether convertible into money or not, arising from business or the exercise of a profession of any resident.	393(1) [Table: Sl. No. 8(iv)] Note 6	10%	20,000
1035	194O	Sale of goods or provision of services by an e-commerce participant, facilitated by an e-commerce operator through its digital or electronic facility or platform. – any e commerce operator	393(1) [Table: Sl. No. 8(v)]	0.1%	₹ 5 Lakh (Individual/HUF)
1037	194S	Any sum by way of consideration for transfer of a virtual digital asset by other than Individual or Hindu Undivided Family	393(1) [Table: Sl. No. 8(vi)]	1%	10,000
1038	194SP	Any sum by way of consideration, whether in cash or in kind or partly in cash and partly in kind, for transfer of a virtual digital asset.	393(1) [Table: Sl. No. 8(vi)] Note 6	1%	10,000
1058	194B	Any income by way of winnings (other than winnings from Sl. No. 2 of the table at section 393(3)) from – (a) any lottery; or (b) crossword puzzle; or (c) card game and other game of any sort; or (d) gambling or betting of any form or nature whatsoever	393(3) [Table: Sl. No. 1]	30%	₹ 10,000 in case of a single transactions
1059	194B	Any income by way of winnings (other than winnings from Sl. No. 2 of the table at section 393(3)) from-- (a) any lottery; or (b) cross-	393(3) [Table: Sl.	30%	₹ 10,000 in case of a single transactions

		word puzzle; or (c) card game and other game of any sort; or (d) gambling or betting of any form or nature whatsoever where consideration, is made in kind or cash is not sufficient to meet the tax liability and tax has been paid before such winnings are released	No. 1] Note 2		
1060	194BA	Any income by way of winnings from online game.	393(3) [Table: Sl. No. 2]	30%	-
1061	194BA	Any income by way of winnings from online games, is made in kind or cash is not sufficient to meet the tax liability and tax has been paid before such winnings are released	393(3) [Table: Sl. No. 2] Note 2	30%	₹ 10,000 in case of a single transactions
1062	194BB	Any income by way of winnings from any horse race.	393(3) [Table: Sl. No. 3]	30%	₹ 10,000 in case of a single transactions
1063	194G	Any income, credited or paid to a person, who is or has been stocking, distributing, purchasing or selling lottery tickets, by way of commission, remuneration or prize (by whatever name called) on such tickets	393(3) [Table: Sl. No. 4]	2%	20,000
1064	194N	Payment of certain amounts in cash by bank/ post office / co-operative society to a deductee being a co-operative society	393(3) [Table: Sl. No. 5.D(a)]	2%	₹ 3 Crore
1065	194N	Payment of certain amounts in cash by bank/ post office / co-operative society to a deductee being a person other than co-operative society	393(3) [Table: Sl. No. 5.D(b)]	2%	₹ 1 Crore
1066	194EE	Any amount referred to in section 80CCA(2)(a) of the Income-tax Act, 1961 (43 of 1961).	393(3) [Table: Sl. No. 6]	10%	2,500
1067	194T	Any sum in the nature of salary, remuneration, commission, bonus or interest paid to a partner of the firm or credited to his account (including capital account).	393(3) [Table: Sl. No. 7]	10%	20,000

Notes:

The above list covers most of the sections applicable for domestic transactions

Section 397(2)
Old Section – 206AA

(a) Irrespective of anything contained in any other provision of this Act, every person, entitled to receive any amount on which tax is deductible or, paying any amount on which tax is collectible, shall furnish his valid Permanent Account Number to the person responsible for deducting or collecting tax;

(b) in case of failure to comply with provisions of clause (a)-

(i) tax shall be deducted at the higher of the following rates:-

(A) at the rate specified in the relevant provision of this Act; or

(B) at the rate or rates in force; or

(C) at the rate of 5% where tax is required to be deducted under section 393(1) [Table: Sl. No. 8(ii) or 8(v)]; or 20% in any other case;